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Utilities | Europe

# Electrifying Europe Reinforces 'New Growth Era'

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| UTILITIES | |
|---|---|
| Europe | |
| Industry View | Attractive |

## Key Takeaways

- We expect a positive read-across for the Utility sector from future policy direction supporting electricity networks & clean power generation.
- Draft EU electrification plan aims to increase the share of electricity in final energy consumption from the current 23% to 46% by 2040.
- Utilities is a key beneficiary via required investment in electricity networks and clean power generation to facilitate this increase.
- We estimate the plan implies 2040 Electricity demand of ~5,000 TWh, ~50% higher than our current forecasts, at a 2025-40 CAGR of 4.9% (MSe 2.1%).
- Even progress towards this target strengthens the 'New Growth Era' for Utilities, with our preferred EU exposure to this theme in Orsted, RWE, Elia, and E.ON.

**Electrifying plan:** The EU followed its 22nd April AccelerateEU Response to Energy Crisis with the indicated Electrification plan. The EU targets a doubling in the share of electricity in final energy consumption from the current 23% to 46% by 2040, with next steps in 4Q26. We consider this ambitious, given the slow pace of European electrification thus far, and the current highest regional electrification is ~25% in ASPAC. Furthermore, the IEA's 'Stated Policies Scenario' sees the EU27 reaching 46% by 2050 (and 41% under a 'Current Policies' Scenario) – see Exhibit 4. However, we note that EU/ Government targets are signposts for desired direction of travel, not necessarily literal targets. This was evident in 2022 REPowerEU Renewable targets of 1,236GW capacity vs MSe 783GW (see March 2022 note and May 2022 note.)

We see EU/Europe lagging Asia's progress in Electrification, with China & Japan already approaching 30%. Latest IEA data from 2024 shows China has increased its electrification ratio by 10% points since 2010, Japan by 3%, SE Asia 6%, overall ASPAC 7% vs EU ~1% (Exhibit 1) – also see Electrifying Energy Security, May 2026. Electrification rates vary across the EU, with notable outliers in Iceland, Sweden and France (Exhibit 2), but this is largely a result of legacy power mix (nuclear/ geothermal), and progress has stalled over past 10 years (Exhibit 3). However, we find Electrification targets more achievable than wider Decarbonisation aims, given use of existing proven technologies (such as electric public transport, EVs, Electric heat pumps) and the pathway already seen in other regions

**Potential material impact for electricity system:** We estimate that the EU27 target implies 2040 total power demand of ~5,000TWh, representing a doubling over 2025 demand of 2,529 TWh and ~50% higher than MSe 2040 forecast of ~3,400. The implied 2025-40 CAGR of 4.9% compares to MSe 2.1% (1H26 2% YoY). We further estimate this level of power demand implies EU27 Generation capacity of

~3,000GW, up from 2026 1,132 GW (current MSe 2035 forecast for 1,470GW). Given the lead time of new nuclear, we envisage the majority of generation capacity will come from Renewables plus further flexgen (Batteries and CCGT) to balance the system. Such a material expansion in electricity generation will most likely require continued growth in electricity network capex investments to enable generation delivery to demand.

We recognize that such ambitions may be difficult to deliver in 15-year time-frame, and the market is unlikely to capitalize the literal interpretation. Nevertheless, as a signpost for desired direction of travel – and further potential policy support to make progress towards it – we consider it positive for European Utilities even if only half of the targeted increase were to be achieved.

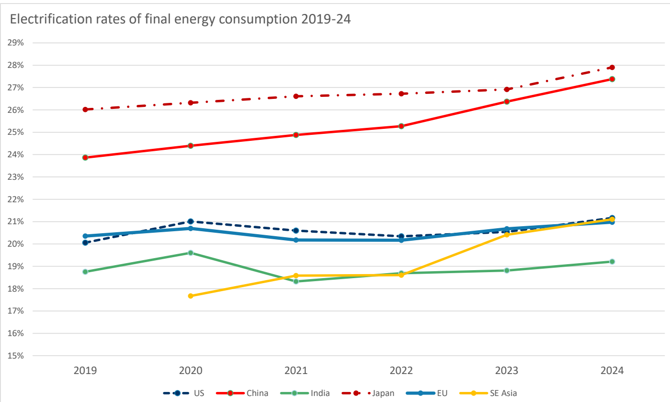
**Electrification supports and extends the 'New Growth Era' for European Utilities:** Electric Utilities are critical for enabling greater electrification as the key avenue for allocating capital to the Electricity system. We see the pathway to 2030/early 2030s largely set in planned electricity network build-out, much of which is 'catch-up', and the evolving electricity generation mix that is unlikely to change before 2030. The Electrification plan provides support for, and greater market confidence in, the outlook for continued growth >2030. We acknowledge that EPS upgrades related to more capex are unlikely before late decade, given long-lead times in Utility hard assets. Nevertheless, we expect policy support extending the investment time-frame to be reflected in higher valuation multiples. Our preferred EU exposed stocks include RWE for Renewables clean power, Electricity Transmission & Gas plants to balance system, Orsted for new Offshore Wind Capacity and Elia and E.ON for Electricity network growth.

**Reducing fossil imports:** The electrification drive is now seen through an Energy security lens, rather than solely through Energy Transition dynamics – see Electrifying Energy Security, May 2026. Greater electrification of energy demand, if backed by largely clean power generation, should reduce fossil fuel imports. The EU plan references reducing the cost of fossil fuel imports, namely Gas & Oil, by €260bn by 2040. In power markets, reducing the role of Gas fired power in setting the price in the marginal variable cost curve 'merit order' is critical to lowering wholesale power prices and helping customer bills.

*See 6 key charts in next section*

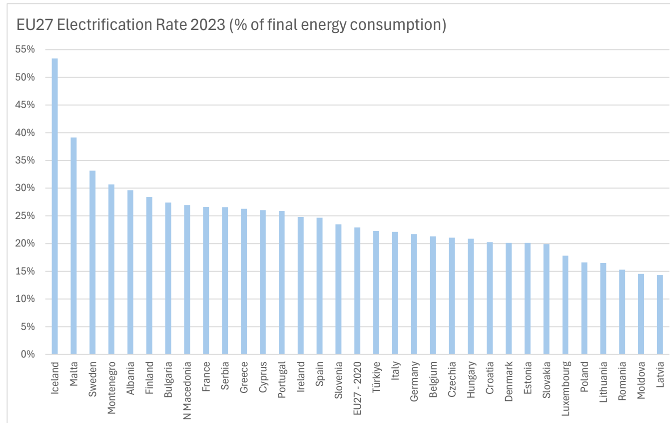
# 6 Key Charts

**Exhibit 1:** EU/Europe electrification lags Asia and has barely increased in recent years



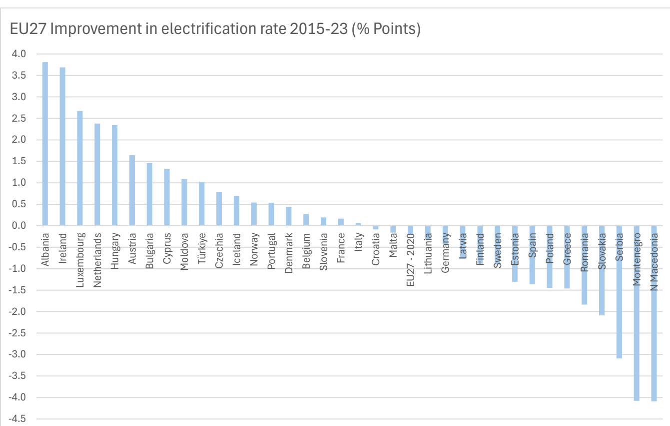

Source: IEA, Morgan Stanley Research Estimates

**Exhibit 2:** Electrification rates vary from 14% to 53% across the EU ...



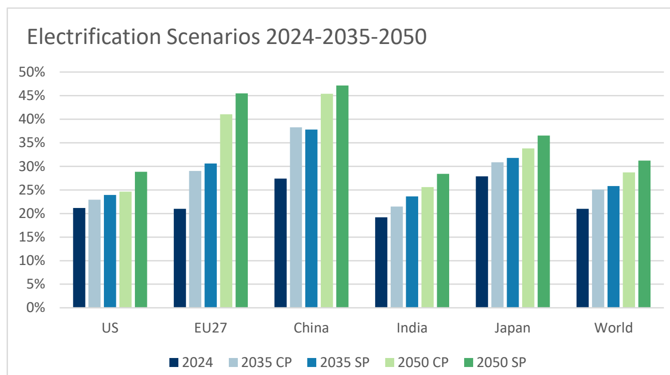

Source: Eurostat, Morgan Stanley Research Estimates

**Exhibit 3:** ... yet there has been little improvement in the large economies over the last decade



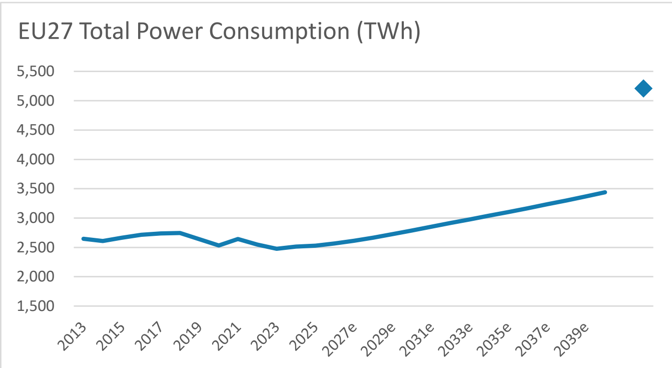

Source: Eurostat, Morgan Stanley Research estimates

**Exhibit 4:** The EU plan for 46% by 2040 is more ambitious than the IEA Stated Policies Scenario for 2050



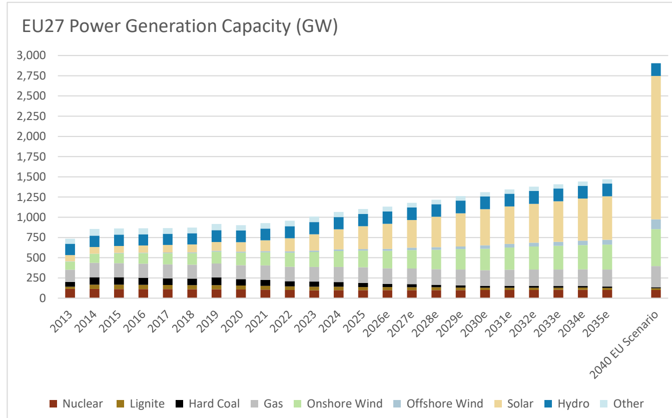

Source: IEA, Morgan Stanley Research

**Exhibit 5:** The EU's 46% target would imply EU power demand of 5,206 TWh, a 4.9% CAGR from 2026, vs MSe 3,400 TWh and 2.1% CAGR




Source: ENTSOE, Morgan Stanley Research Estimates

**Exhibit 6:** Accommodating higher electricity demand requires a greater step-up in generation & networks than we currently forecast.




Source: ENTSOE, Morgan Stanley Research estimates

# Valuation Methodology and Risks

### Elia (ELI.BR)

Our base case valuation is a SOTP of the two network businesses. For both, we take the value of the RAB in 2026 and DCF the future value of likely outperformance via incentives & opex in Belgium and in Germany. We use a CoE of 6.0% in Belgium and 5.3% in Germany. Our valuation delivers a 22% premium to RAB for ETB and a 46% premium to RAB for 50 Hertz.

**Risks to Upside**

- Lower bond yields
- Improvement in German regulation to support high capex requirements

**Risks to Downside**

- Higher bond yields
- Less supportive regulation in Belgium and Germany
- Failure to deliver on expansive capex plan

### E.ON (EONGn.DE)

Our SOTP valuation is based on DCFs for the Network businesses, including JVs and non-regulated activities, out to 2060, and then includes the final RAB (discounted back). We apply a 4.7% WACC for Germany RAB based networks, 5.4% for non-RAB earnings, 4.8% for Sweden and 6-10% for CEE networks country dependent. We value Retail at 7.5x EV/2025 EBITDA for Germany, 6.5x for the UK, 3.5x for Other, and EIS at 10x EV/EBITDA.

**Risks to Upside**

- Improved German regulatory package (cost of debt, opex & redistribution costs)
- Higher network capex and EPS CAGR
- Non-core asset disposals at attractive valuations
- Increasing DPS growth/payout ratio

**Risks to Downside**

- Higher bond yields triggering de-rating
- Supply chain challenges to deploying capex
- Changes to German energy policy reducing RES targets/network capex growth
- Lower retail margins
- Lower regulated returns

### Orsted A/S (ORSTED.CO)

We value Orsted on a SOTP, using a project-by-project DCF for Offshore wind and a DCF for Onshore business using a weighted average regional WACC of 6.2% for Offshore and 6.4% for Onshore.

In offshore we includes operational assets, projects under construction (Revolution, Sunrise, H3, Changhua 2B&4, Baltica 2), as well as 4 projects under development. Our price target implies 2027 EV/EBITDA of 12.5x and P/E of 31x with low gearing.

**Risks to Upside**

- Falling bond yields increase NPV
- Attractive dividend distribution policy
- Positive newsflow on US projects
- Attractive terms on new offshore wind projects
- Consolidation / M&A in renewables

**Risks to Downside**

- Further halt orders or cancellations on US projects (Sunrise & Revolution)
- Further cost overruns, delays and/or impairments on projects
- Rising yields eroding NPV
- Lower power prices
- Anti renewable energy policies

**RWE AG (RWEG.DE)**

We value each business division separately through a DCF. We value Renewables targets to 2030 and assume value of 3GW new German CCGTs. We assume no terminal value and use business-specific WACCs. We apply a 6.7% WACC to Offshore & 6.6% for Onshore Renewables, 7.8% for the Flexgen division, and Trading on 6x EV/EBITDA. We value 15% E.ON stake at market, Amprion using DCF and 1/2 of 3GW data centre site pipeline.

**Risks to Upside**

- More data centre site deals
- Higher PPA prices support renewable growth
- Capacity wins in German CCGT auction
- Lignite foundation to exit coal early
- Higher power prices driven EPS upgrades
- Lower bond yields

**Risks to Downside**

- Lower German & UK power prices
- Price caps, lower carbon prices, intervention
- Execution / cost overruns in Renewables
- Higher yield curve
- Negative evolution in German Energy policy
- Poor trading

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(as of June 30, 2026)

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| | Coverage Universe | | Investment Banking Clients (IBC) | | | Other Material Investment Services Clients (MISC) | |
|---|---|---|---|---|---|---|---|
| Stock Rating Category | Count | % of Total | Count | % of Total IBC | % of Rating Category | Count | % of Total Other MISC |
| Overweight/Buy | 1544 | 42% | 453 | 49% | 29% | 757 | 44% |
| Equal-weight/Hold | 1577 | 43% | 390 | 42% | 25% | 769 | 44% |
| Not-Rated/Hold | 3 | 0% | 1 | 0% | 33% | 1 | 0% |
| Underweight/Sell | 544 | 15% | 89 | 10% | 16% | 204 | 12% |
| Total | 3,668 | | 933 | | | 1731 | |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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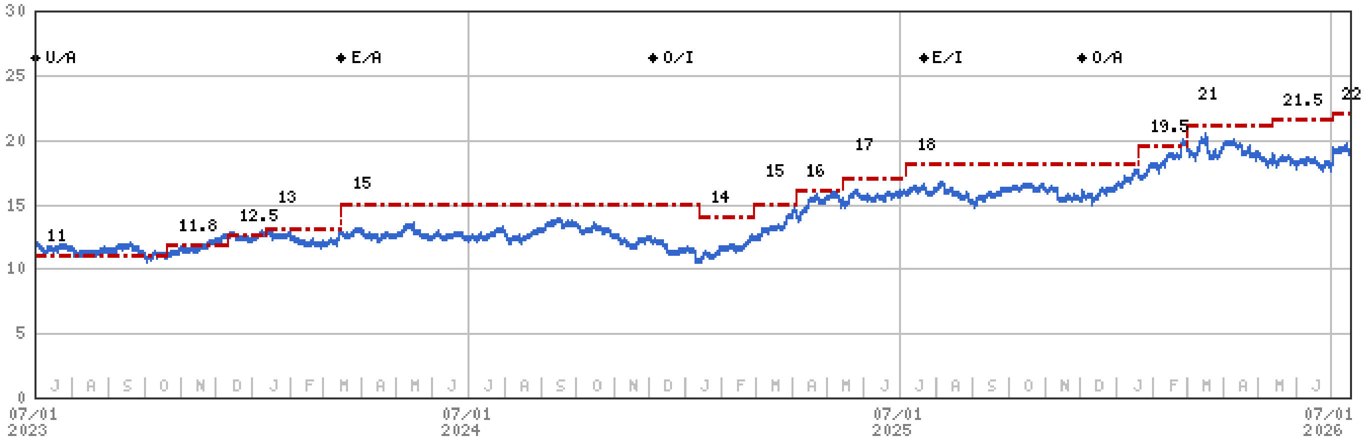
## Stock Price, Price Target and Rating History (See Rating Definitions)

E.ON (EONGn.DE) - As of 07/17/26 GMT in EUR
Industry : Utilities




Stock Rating History: 7/1/21 : U/A; 8/5/22 : E/A; 1/6/23 : U/A; 3/15/24 : E/A; 12/5/24 : O/I; 7/21/25 : E/I; 12/3/25 : O/A

Price Target History: 5/11/21 : 9.4; 8/3/21 : 10; 12/14/21 : 11; 5/16/22 : 10.5; 8/5/22 : 10; 11/9/22 : 9.5; 2/27/23 : 10; 3/20/23 : 10.5; 6/19/23 : 11; 10/20/23 : 11.8; 12/11/23 : 12.5; 1/12/24 : 13; 3/15/24 : 15; 1/13/25 : 14; 2/28/25 : 15; 4/4/25 : 16; 5/14/25 : 17; 7/7/25 : 18; 1/19/26 : 19.5; 3/2/26 : 21; 5/13/26 : 21.5; 7/2/26 : 22

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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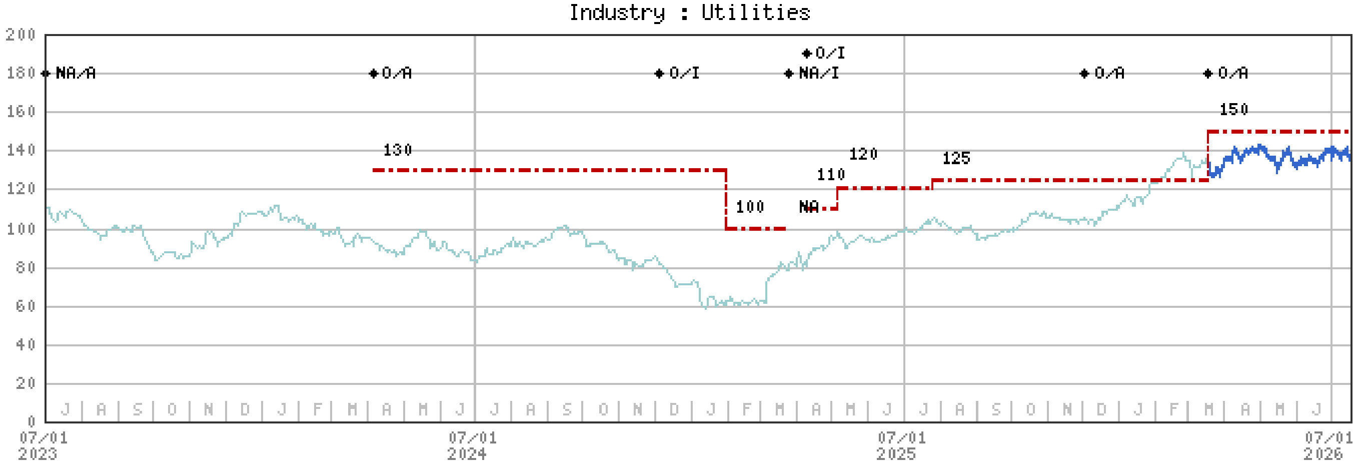
Elia (ELI.BR) - As of 07/17/26 GMT in EUR
Industry : Utilities




Stock Rating History: 7/1/21 : NA/A; 4/5/24 : O/A; 12/5/24 : O/I; 3/26/25 : NA/I; 4/9/25 : O/I; 12/3/25 : O/A; 3/18/26 : O/A

Price Target History: 4/5/24 : 130; 1/30/25 : 100; 3/26/25 : NA; 4/9/25 : 110; 5/6/25 : 120; 7/25/25 : 125; 3/18/26 : 150

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Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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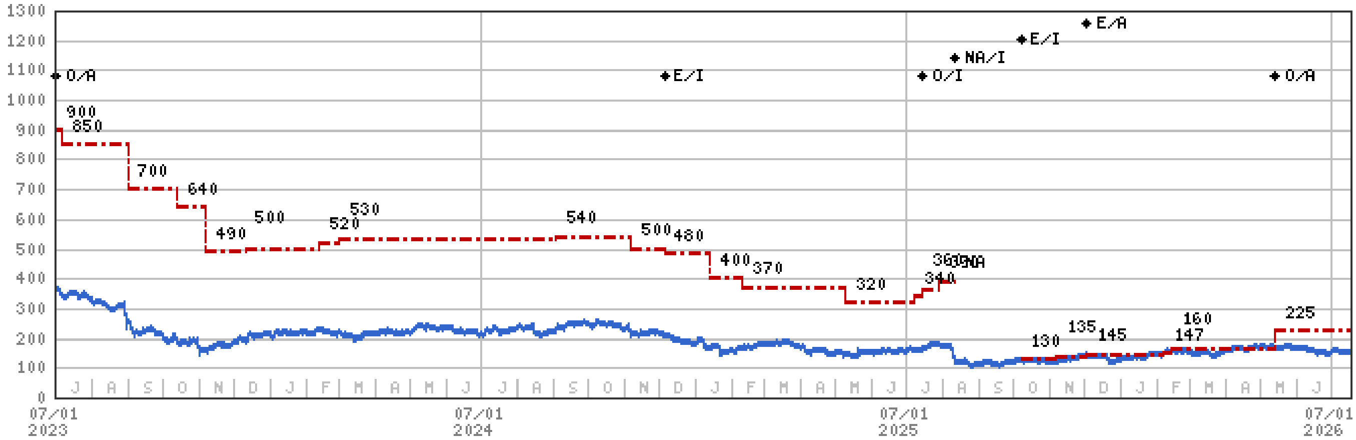

Stock Rating History: 7/1/21 : O/A; 12/5/24 : E/I; 7/14/25 : O/I; 8/11/25 : NA/I; 10/7/25 : E/I; 12/3/25 : E/A; 5/13/26 : O/A

Price Target History: 6/3/21 : 1200; 2/2/22 : 1000; 2/22/22 : 900; 5/3/22 : 1000; 11/4/22 : 850; 11/18/22 : 870; 1/23/23 : 850; 5/25/23 : 900; 7/6/23 : 850; 9/1/23 : 700; 10/13/23 : 640; 11/7/23 : 490; 12/11/23 : 500; 2/12/24 : 520; 3/1/24 : 530; 9/3/24 : 540; 11/6/24 : 500; 12/5/24 : 480; 1/13/25 : 400; 2/10/25 : 370; 5/9/25 : 320; 7/7/25 : 340; 7/14/25 : 360; 7/28/25 : 390; 8/11/25 : NA; 10/7/25 : 130; 11/6/25 : 135; 12/3/25 : 145; 2/6/26 : 147; 2/13/26 : 160; 5/13/26 : 225

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
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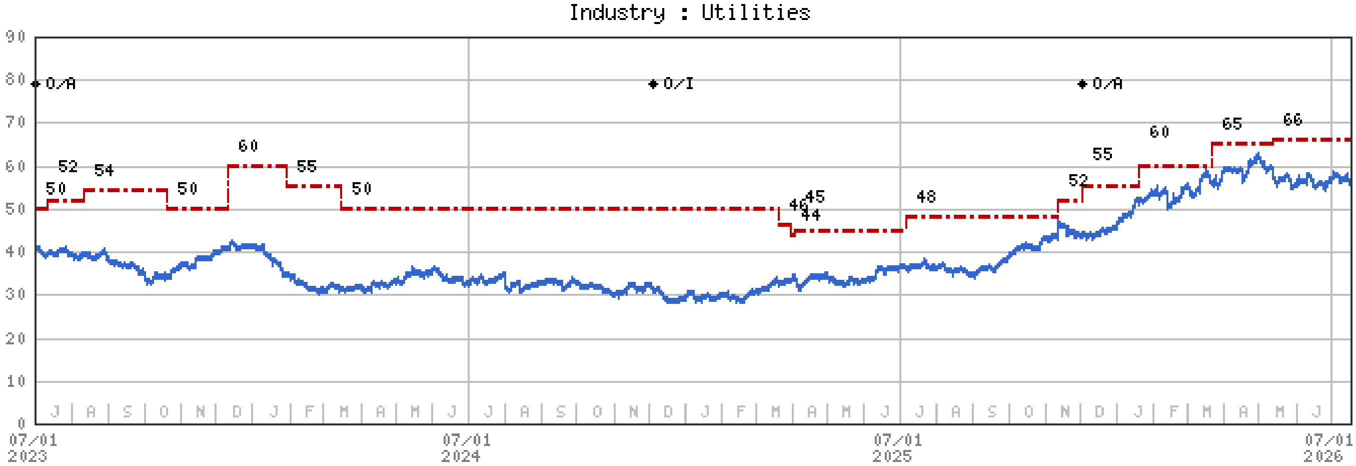
RWE AG (RWEG.DE) - As of 07/17/26 GMT in EUR
Industry : Utilities



Stock Rating History: 7/1/21 : O/A; 12/5/24 : O/I; 12/3/25 : O/A

Price Target History: 11/12/20 : 44; 10/15/21 : 42; 11/30/21 : 44; 1/31/22 : 45; 5/3/22 : 50; 8/8/22 : 53; 11/14/22 : 52; 11/18/22 : 53; 3/6/23 : 50; 7/11/23 : 52; 8/11/23 : 54; 10/20/23 : 50; 12/11/23 : 60; 1/29/24 : 55; 3/15/24 : 50; 3/21/25 : 46; 3/31/25 : 44; 4/3/25 : 45; 7/7/25 : 48; 11/12/25 : 52; 12/3/25 : 55; 1/19/26 : 60; 3/22/26 : 65; 5/13/26 : 66

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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## INDUSTRY COVERAGE: Utilities

| COMPANY (TICKER) | RATING (AS OF) | PRICE* (07/16/2026) |
|---|---|---|
| **Arthur Sitbon, CFA** | | |
| CEZ (CEZP.PR) | E (06/02/2026) | CZK 1,310.00 |
| Corporacion Acciona Energia Renovables (ANE.MC) | E (04/16/2025) | €21.60 |
| EDP Energias de Portugal SA (EDP.LS) | E (02/10/2025) | €4.52 |

| | | |
|---|---|---|
| EDP Renovaveis (EDPR.LS) | E (10/24/2025) | €13.84 |
| Elia (ELI.BR) | O (03/18/2026) | €135.10 |
| Enagas SA (ENAG.MC) | E (03/31/2026) | €16.60 |
| ENGIE (ENGIE.PA) | O (10/19/2020) | €26.65 |
| Naturgy (NTGY.MC) | O (05/20/2026) | €28.66 |
| NEL ASA (NEL.OL) | U (10/29/2024) | NKr 2.18 |
| Redeia (REDE.MC) | E (03/25/2026) | €15.38 |
| Solaria Energia y Medio Ambiente SA (SLRS.MC) | E (12/03/2025) | €18.22 |
| Veolia (VIE.PA) | O (12/03/2025) | €37.22 |
| Voltalia SA (VLTSA.PA) | U (06/10/2026) | €6.67 |
| **Ricardo Rezende, CFA** | | |
| Hidroelectrica SA (ROH2O.BX) | U (01/22/2024) | RON 205.00 |
| **Robert Pulleyn** | | |
| E.ON (EONGn.DE) | O (12/03/2025) | €18.90 |
| Endesa SA (ELE.MC) | U (12/11/2023) | €39.54 |
| ENEL (ENEI.MI) | U (05/01/2026) | €10.00 |
| Fortum Oyj (FORTUM.HE) | E (05/01/2026) | €19.58 |
| Iberdrola SA (IBE.MC) | E (03/18/2025) | €20.97 |
| Orsted A/S (ORSTED.CO) | O (05/13/2026) | DKr 148.00 |
| RWE AG (RWEG.DE) | O (11/29/2019) | €55.60 |
| SSE (SSE.L) | O (11/03/2020) | 2,429p |
| Verbund AG (VERB.VI) | U (08/09/2023) | €58.55 |
| **Sarah E Lester, CFA** | | |
| A2A SpA (A2.MI) | O (10/31/2025) | €2.32 |
| Centrica (CNA.L) | E (03/02/2026) | 172p |
| Drax Group Plc (DRX.L) | E (03/02/2026) | 766p |
| ERG SpA (ERG.MI) | U (12/11/2023) | €22.68 |
| Italgas SpA (IG.MI) | E (12/03/2025) | €9.98 |
| National Grid plc (NG.L) | O (01/06/2023) | 1,217p |
| National Grid plc (NGG.N) | O (12/11/2025) | US$82.51 |
| Pennon Group (PNN.L) | O (01/23/2026) | 488p |
| Severn Trent (SVT.L) | E (01/23/2026) | 2,980p |
| Snam SpA (SRG.MI) | U (03/16/2021) | €6.12 |
| Terna - Rete Elettrica Nazionale SpA (TRN.MI) | U (12/06/2022) | €10.06 |
| United Utilities Group PLC (UU.L) | E (01/23/2026) | 1,351p |

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.